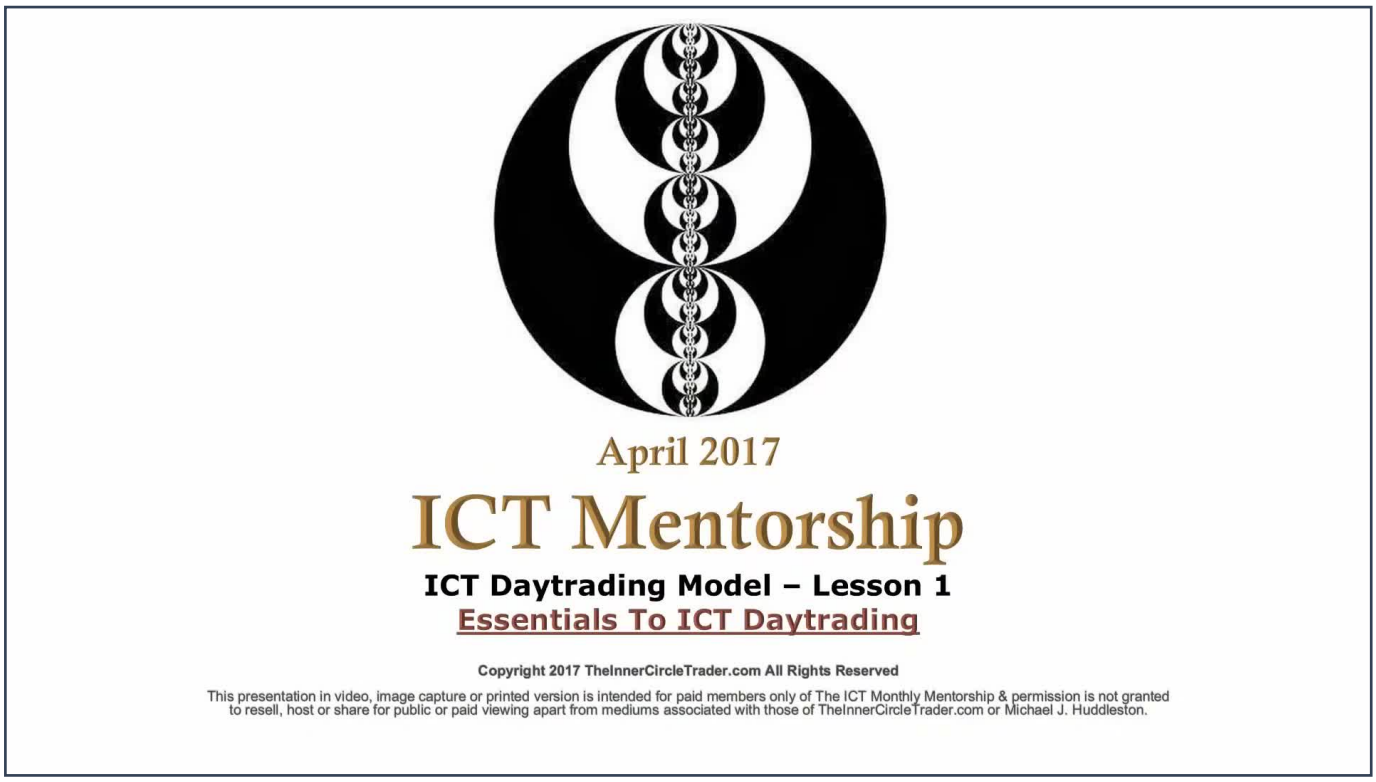
ICT MENTORSHIP CORE CONTENT

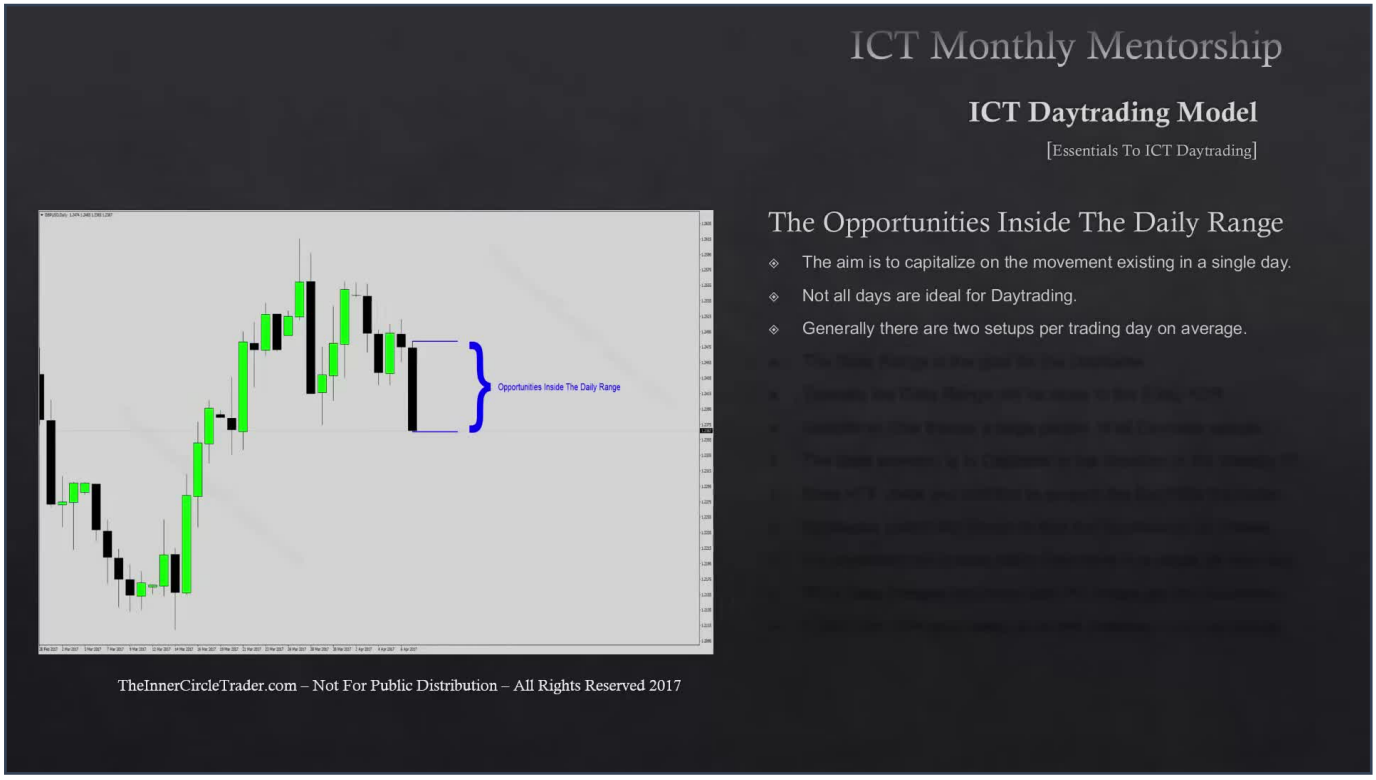
ICT MENTORSHIP CORE CONTENT - MONTH 08 - ESSENTIALS TO ICT DAYTRADING



This content covers the ICT day trading model, focusing on the essentials of ICT day trading for opportunities within the daily range. The aim is to capitalize on movement existing within a single 24-hour trading period.

This type of trading is considered the hardest, often scoffed at by analysts and technical gurus who focus on higher time frames. However, this model is precise in capitalizing on daily movements.

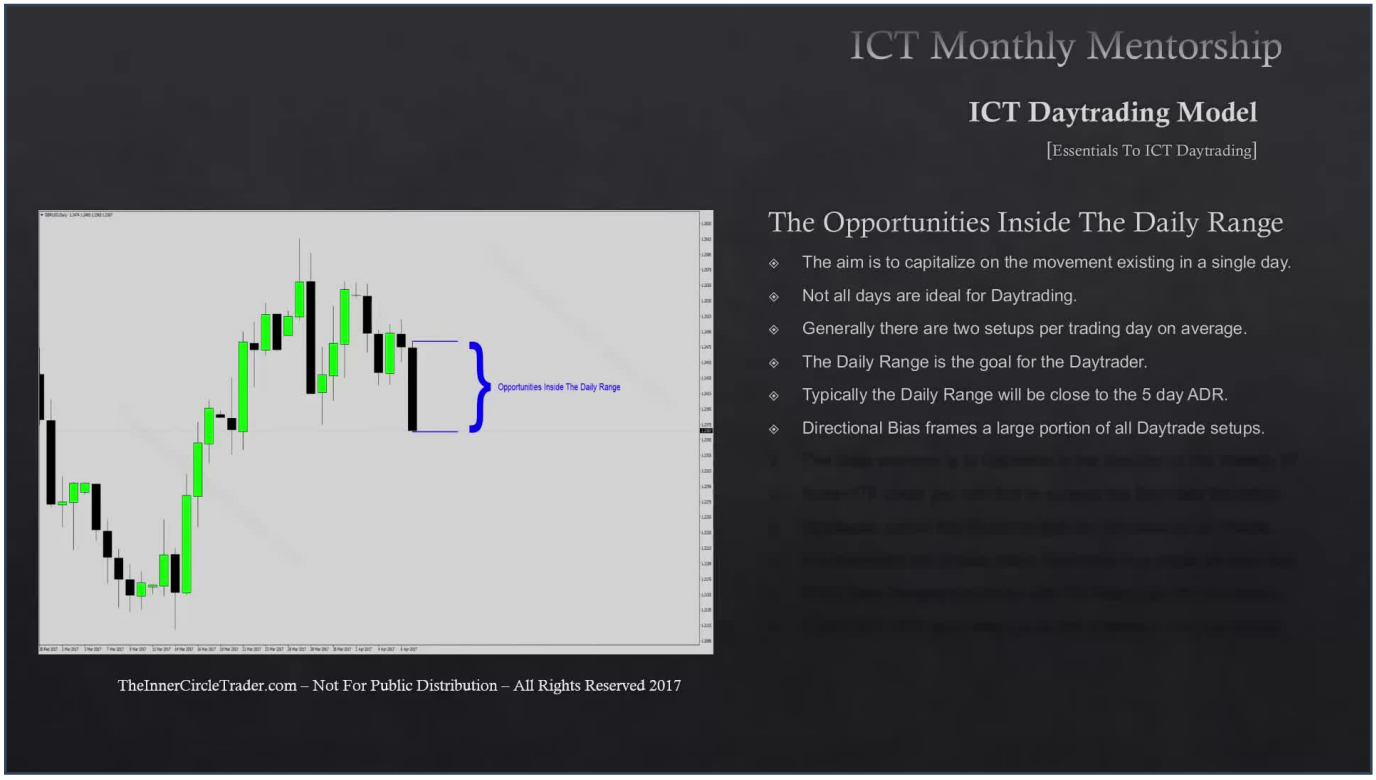
It is important to note that 'day trading' does not equate to 'everyday trading'; not all days are ideal for day trading.



Generally, there are two primary setups per trading day on average, which will be covered along with other scenarios that can take place within a 24-hour trading period. These insights will also be useful for scalping in future content.

The daily range is the primary goal for day traders. The expectation is to capitalize on at least 65-70 percent of the daily range. This means leaving a small portion at the high or low, focusing on capturing the largest segment of the daily range or daily candle.

Typically, the daily range will be close to the last five days' average daily range (ADR). This figure is derived by averaging the pip movement over the past five days. There will also be instances where the average daily range can be expected to double or more in a single day.



Directional bias frames a large portion of all day trade setups. Traders will be looking for directional plays primarily, forming a preconceived idea for the week by looking for specific criteria that align with institutional order flow.

The ideal scenario is to day trade in the direction of the weekly time frame. More higher time frame ideas supporting the day trade will increase the odds and improve outcomes.

ADVANTAGES OF DAY TRADE ENTRIES AND RISK MANAGEMENT

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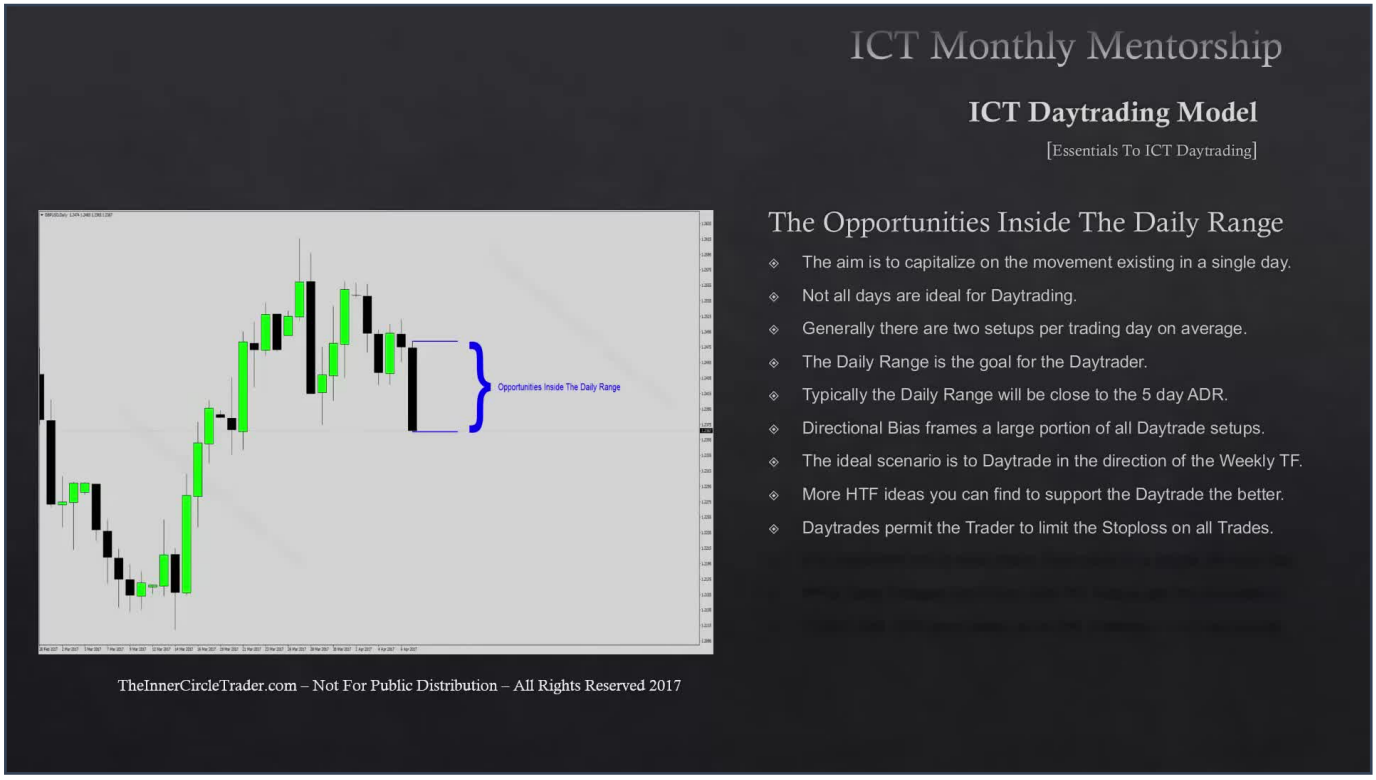
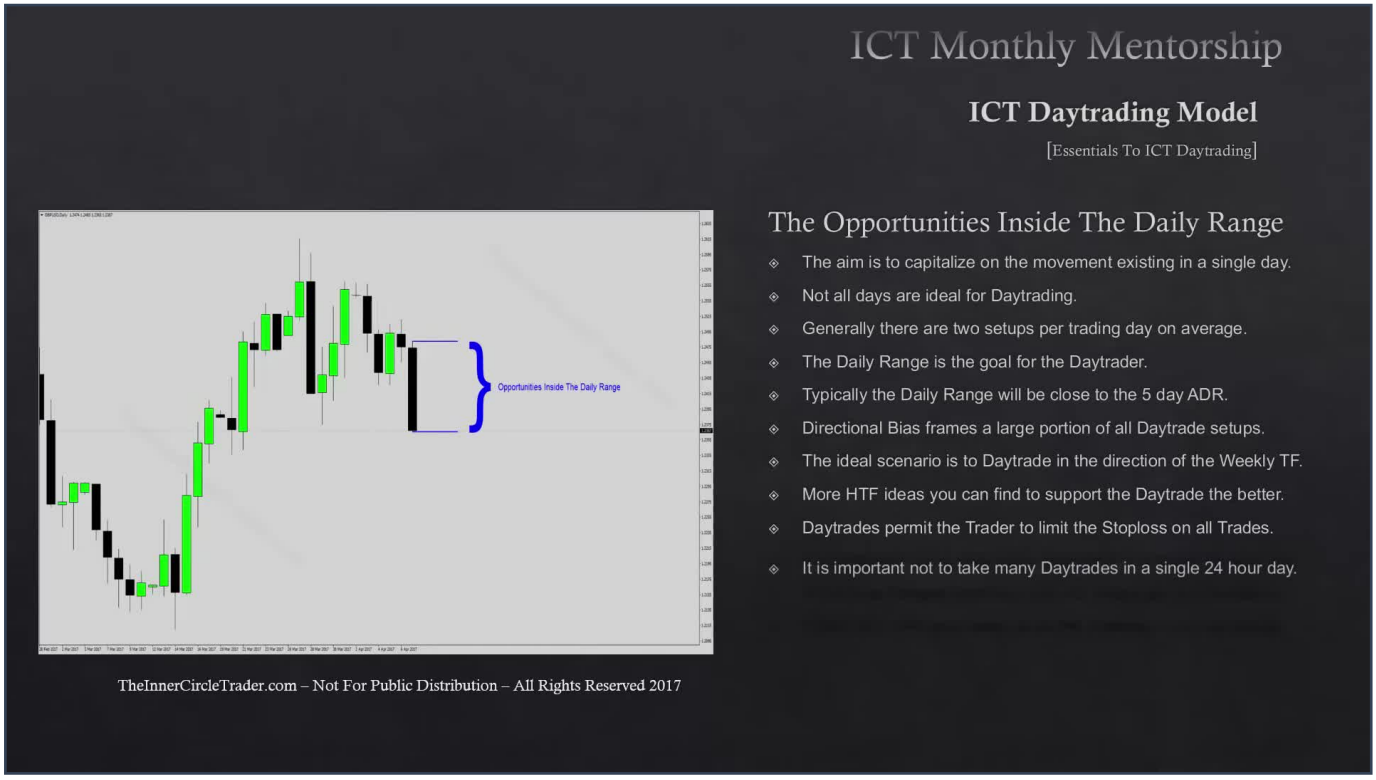


Day trades allow traders to limit stop losses on all trades. Even for those who do not wish to be day traders or cannot be in front of charts all day, these techniques offer significant advantages:

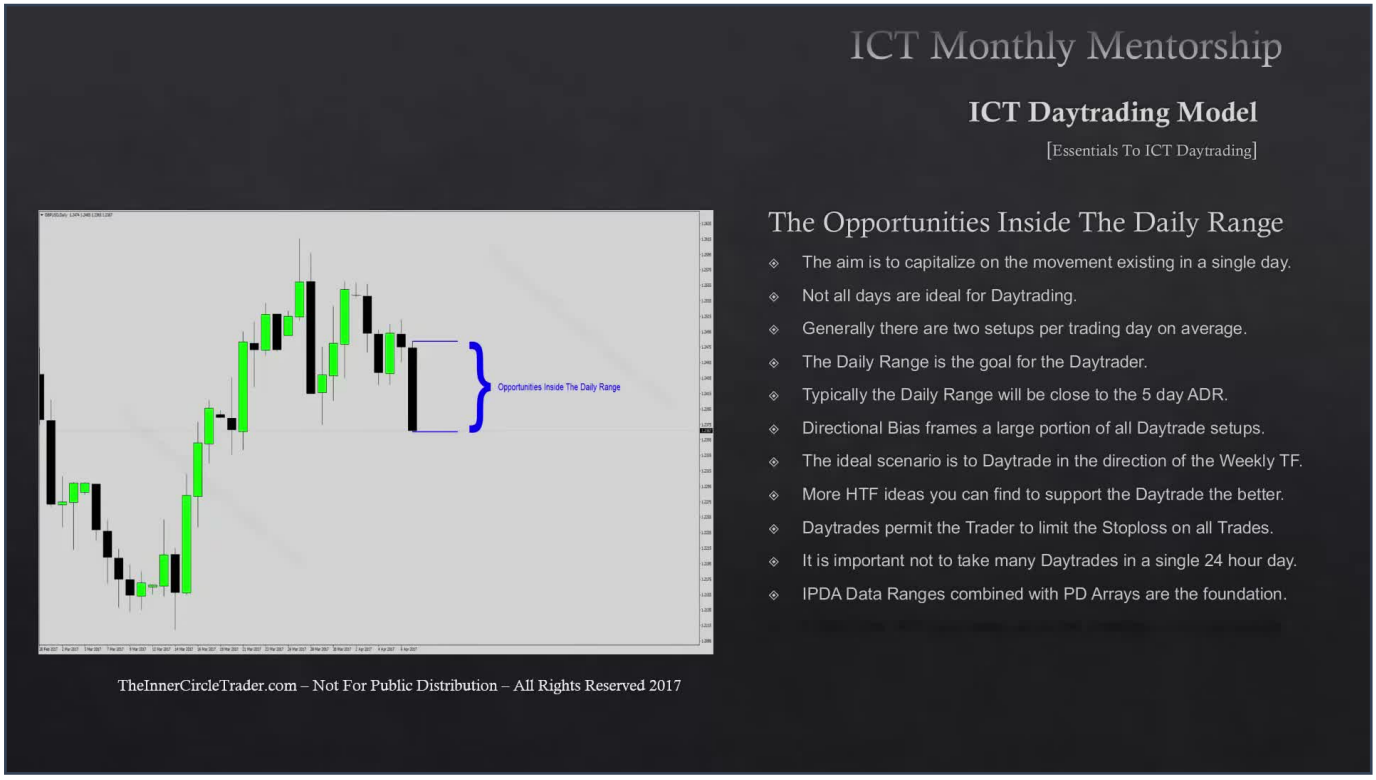
- Using day trade entries with small stop losses permits lowering initial risk for long-term position trades, swing trades, and one-shot one-kill setups.

- These setups offer potential for significant risk-reward multiples, often exceeding the standard 3:1 to 5:1, easily reaching double digits when day trade entries are overlapped with higher time frame setups.



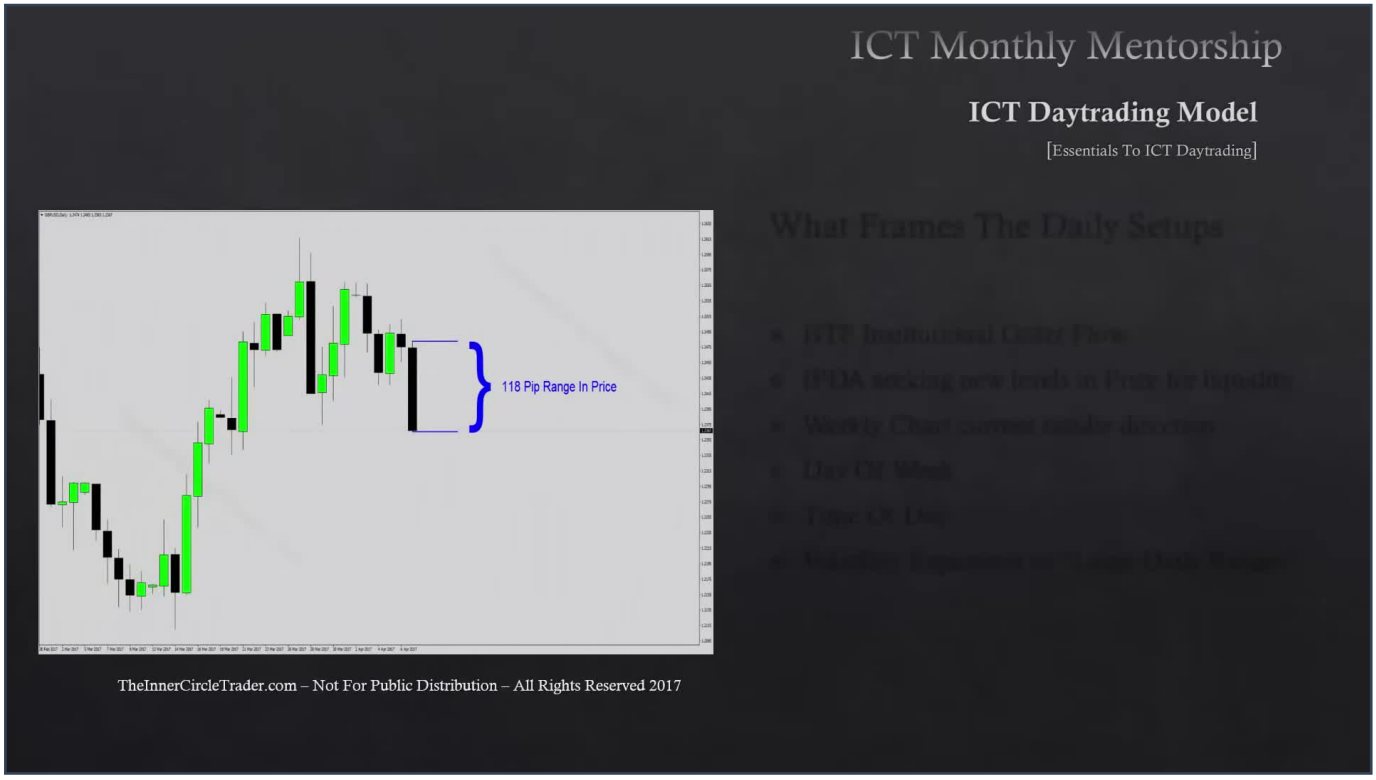
It is important not to take many day trades in a single 24-hour day. While there are two primary setups in a day, the focus is on specific setups to capitalize on the majority of the daily range, not on high frequency trading.

It is not essential to capture the entire daily range. Even a portion (e.g., 30-40 pips from a 100-120 pip daily range) is a successful outcome, outperforming most other traders who often lose money. Consistent small gains contribute to growth, leading to better entries and larger portions of the daily move over time. Avoid believing that increased trade frequency leads to more profitability or pips.



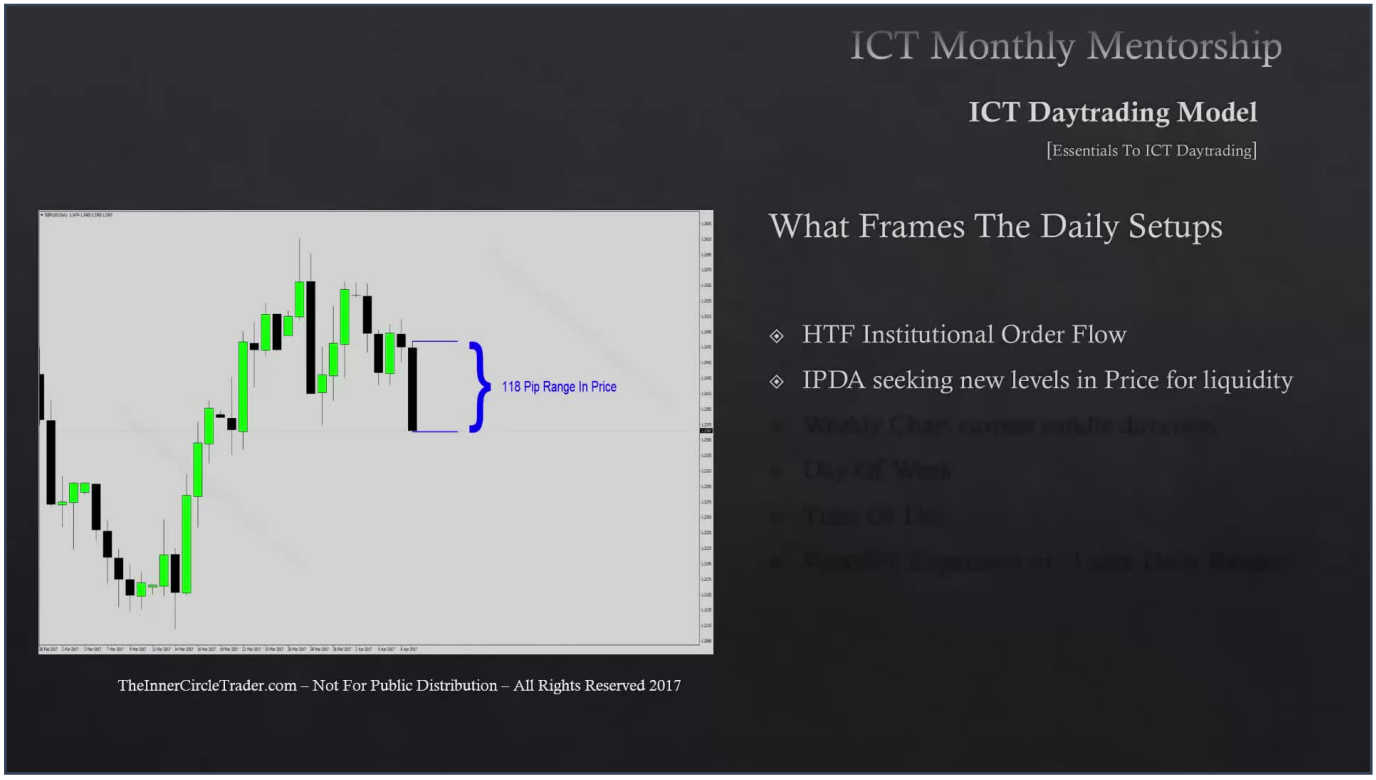
The foundation for all day trades rests on IPDA data ranges combined with PD (Price Delivery) arrays.

Days with significant news events such as FOMC (Federal Open Market Committee) and Non-Farm Payroll (NFP) are considered 'no setup' days. Traders should remain on the sidelines. While it's possible to use demo accounts to observe price action and forecast IPDA's targets on these days, participation does not increase trading odds. It is often better to let these days pass without active trading.



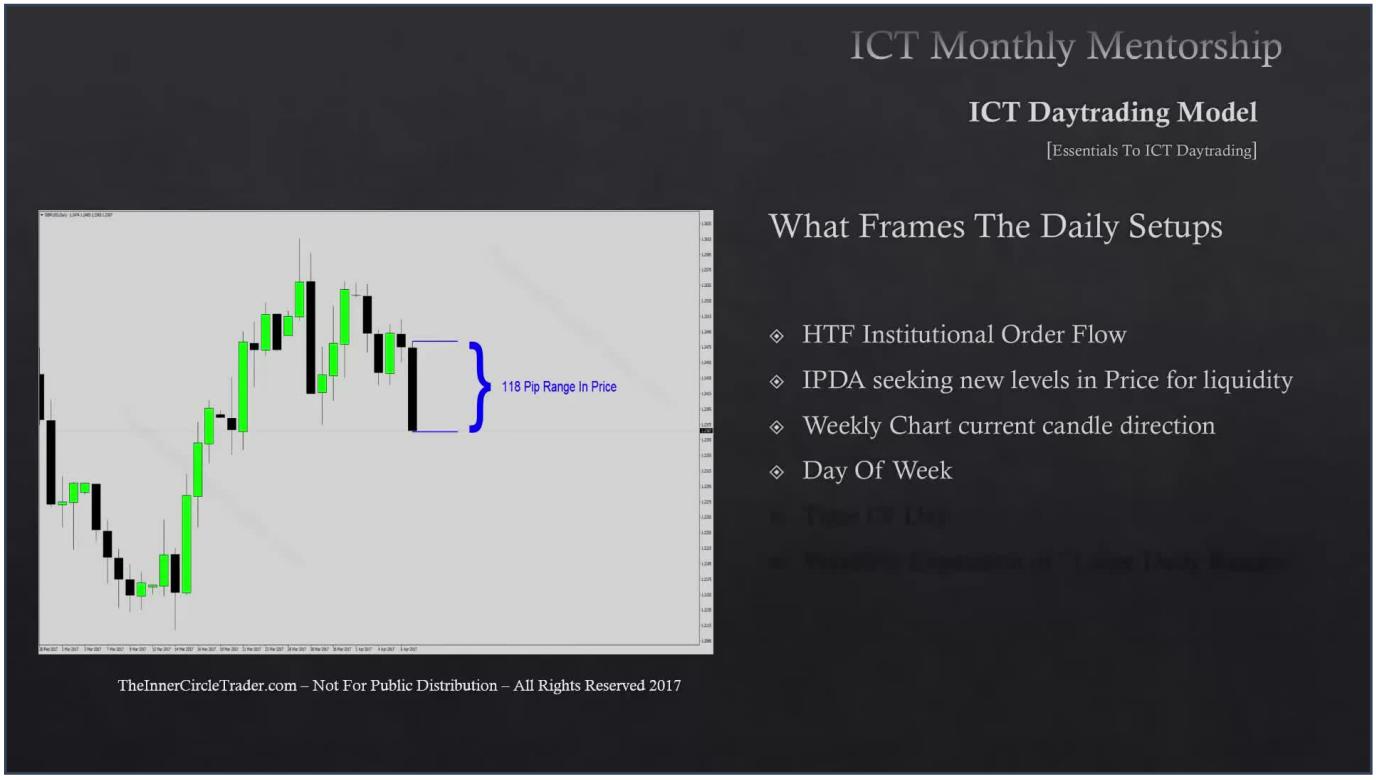
Daily setups are framed by considering higher time frame (HTF) institutional order flow. This involves analyzing monthly, weekly, and daily PD arrays over the last 20, 40, and 60 trading days.

For day trades, the primary focus is on the daily chart. It is usually sufficient to identify daily discount or premium PD arrays without needing to refer to weekly or monthly charts, as the daily will typically align with a relevant PD array.



The Interbank Price Delivery Algorithm (IPDA) consistently seeks new liquidity levels in price. This means anticipating where IPDA may drive price for liquidity, whether above or below current market price.

This expectation is blended with forecasting the current weekly candle's direction. Traders should analyze the most obvious logical premium or discount array from historical IPDA data ranges to determine the most likely direction for the weekly candle (higher or lower prices). This idea is then incorporated to forecast the expansion of the current or next weekly candle relative to IPDA data ranges and institutional order flow.



The day of the week is paramount in day trading, as some days offer high-probability setups, others can be unpredictable ('hat tricks'), and some are predisposed to be quiet.

The time of day is absolutely critical for day trading. IPDA moves and gyrates price at specific, predictable times, which market makers facilitate. Therefore, traders must work within defined time windows. Flexibility should reside in time, not price. Price must hit the defined levels, and entries and exits must overlap with specific times of the day. The primary focus is on volatility expansions or large daily ranges.

KEY TIME WINDOWS - LONDON SESSION OPEN (ICT KILL ZONE)

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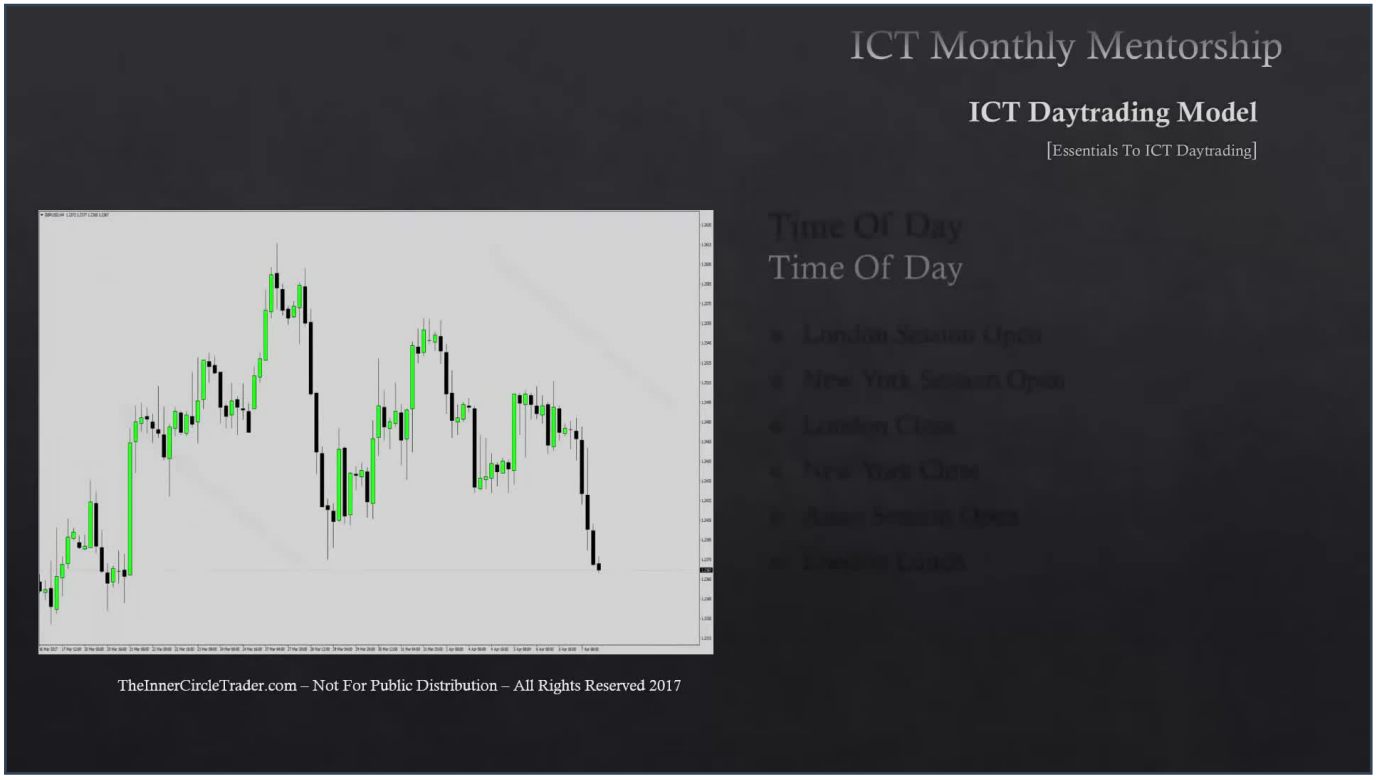


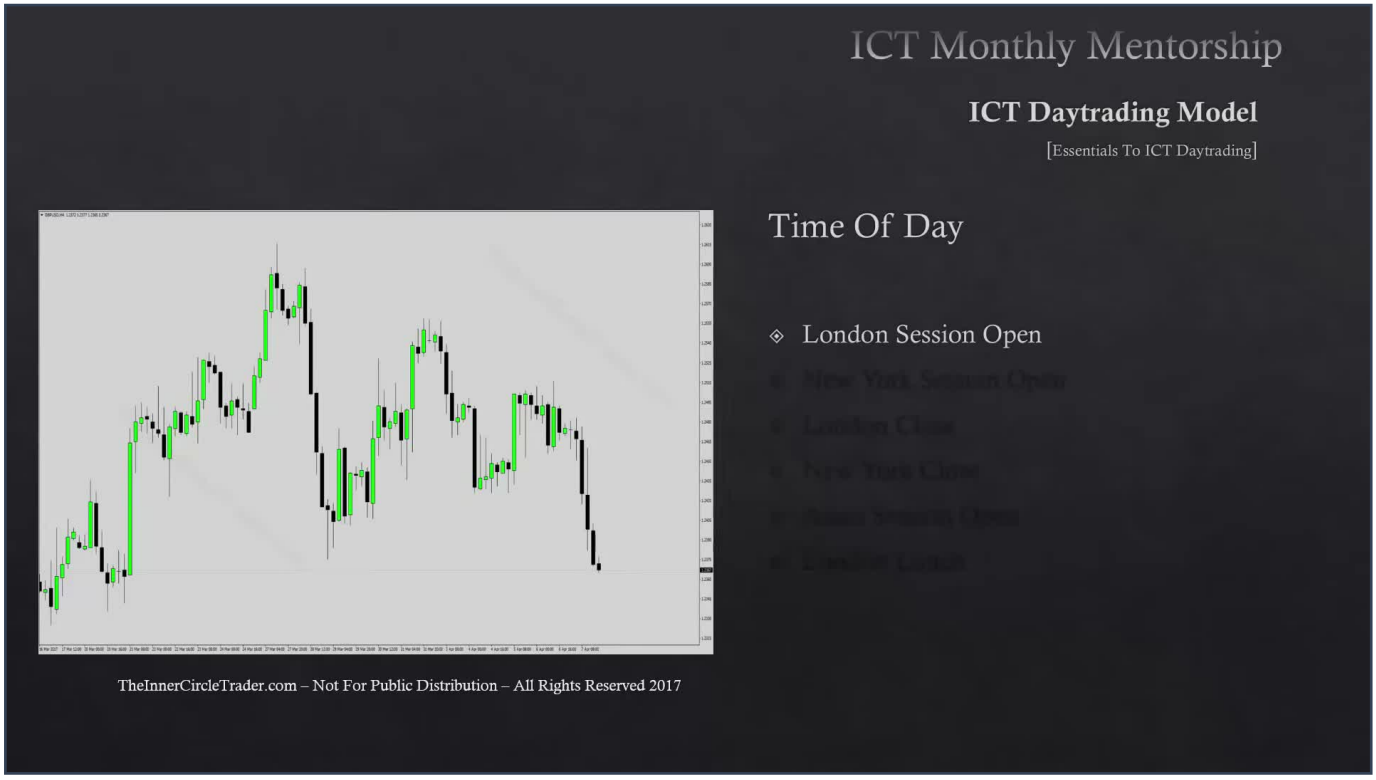
All time references are relative to New York Time.

London Session Open is a primary time window for day trades, forming the ICT Kill Zone.

- Typical Hot Spot: The daily high or low usually forms between 2:00 AM and 4:00 AM NY time.

- Extended Kill Zone: To account for deviations due to the economic calendar or daylight savings, the London Open Kill Zone is defined as 1:00 AM to 5:00 AM NY time (a four-hour window).

- Traders should monitor the economic calendar for the specific pair being traded, expecting some manipulation just before or at medium/high-impact news releases, which often precedes the trade setup.



The New York Session Open is generally considered the easiest time window to work with, hence its frequent focus in the mentorship program.

- Avoidance Condition: The only time to avoid trading the New York session is if the London session has already completed 80 percent or more of the average daily range (based on the last five days' ADR measurement).

- If the daily range target is met or exceeded in London, engaging in New York trading is discouraged as price is likely to consolidate, move sideways, or initiate an unexpected reversal. It is advisable to remain on the sidelines and await the next trading day.

KEY TIME WINDOWS - LONDON CLOSE AND NEW YORK SESSION END

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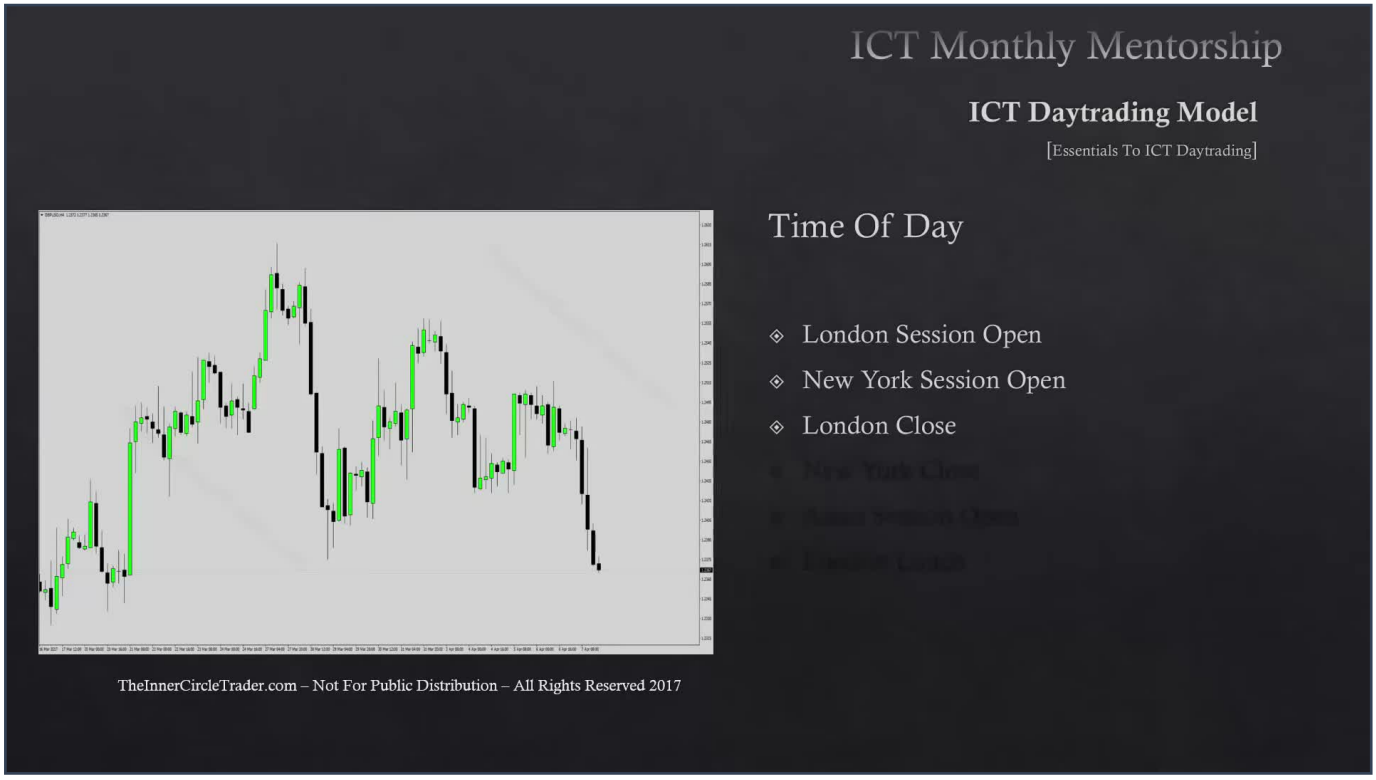

London Close is a time window where traders typically look to bank profits from existing positions. While a specific day trading strategy for London Close has been taught in the past, it's primarily used for profit taking.

- Reversal Opportunities: London Close can also serve as an entry point for longer-term trades (One-Shot One-Kill, swing, or position trades) if the market is reversing intraday and trades into a logical level of support or resistance.

- New York Session End: This time window is centered around the 2:00 PM hour, specifically extending to 3:00 PM NY time, which marks the close of the bond market. This period is relevant for FOMC interest rate announcements, which can drive price action until 3:00 PM. However, traders are generally finished with their trading activities by noon NY time.

KEY TIME WINDOWS - ASIAN SESSION OPEN AND LONDON LUNCH

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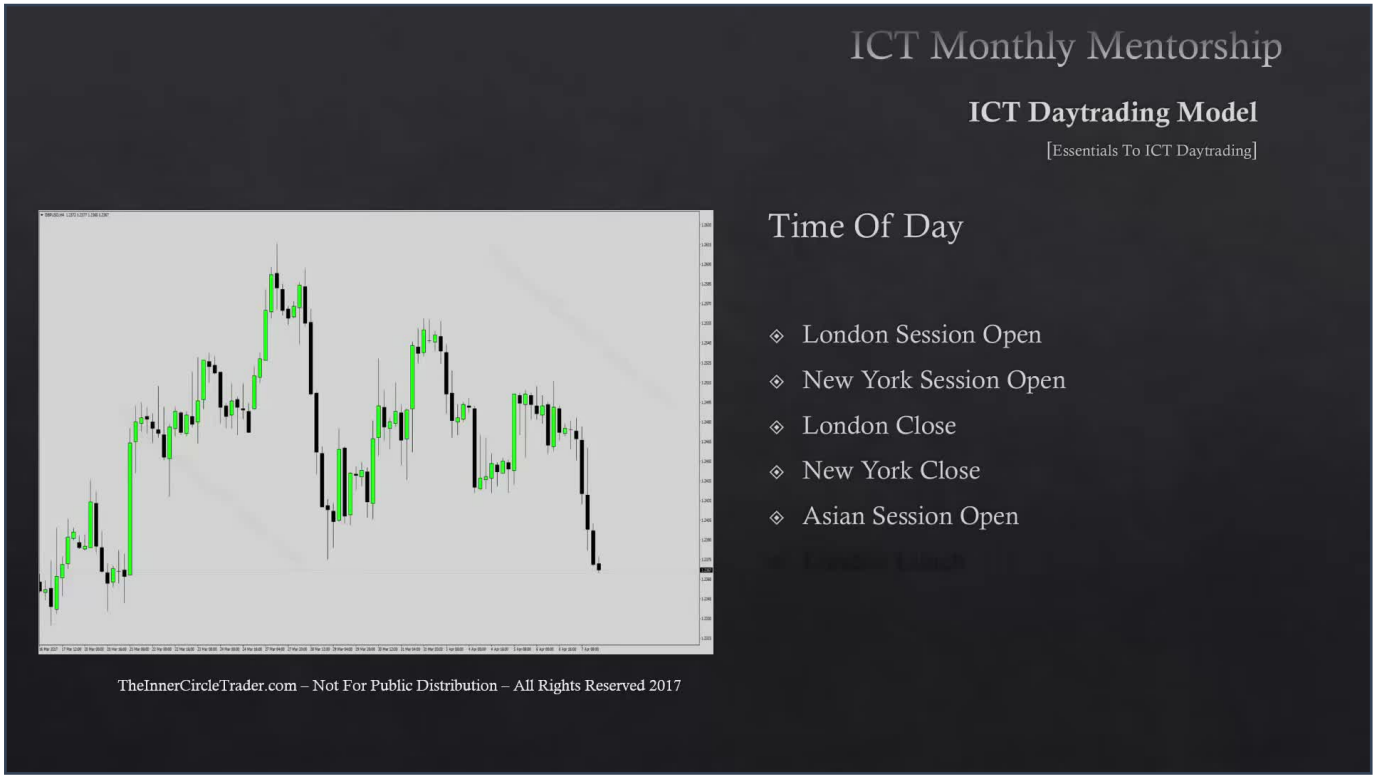


Asian Session Open is typically around 8:00 PM NY time.

- This session is usually for very small setups.

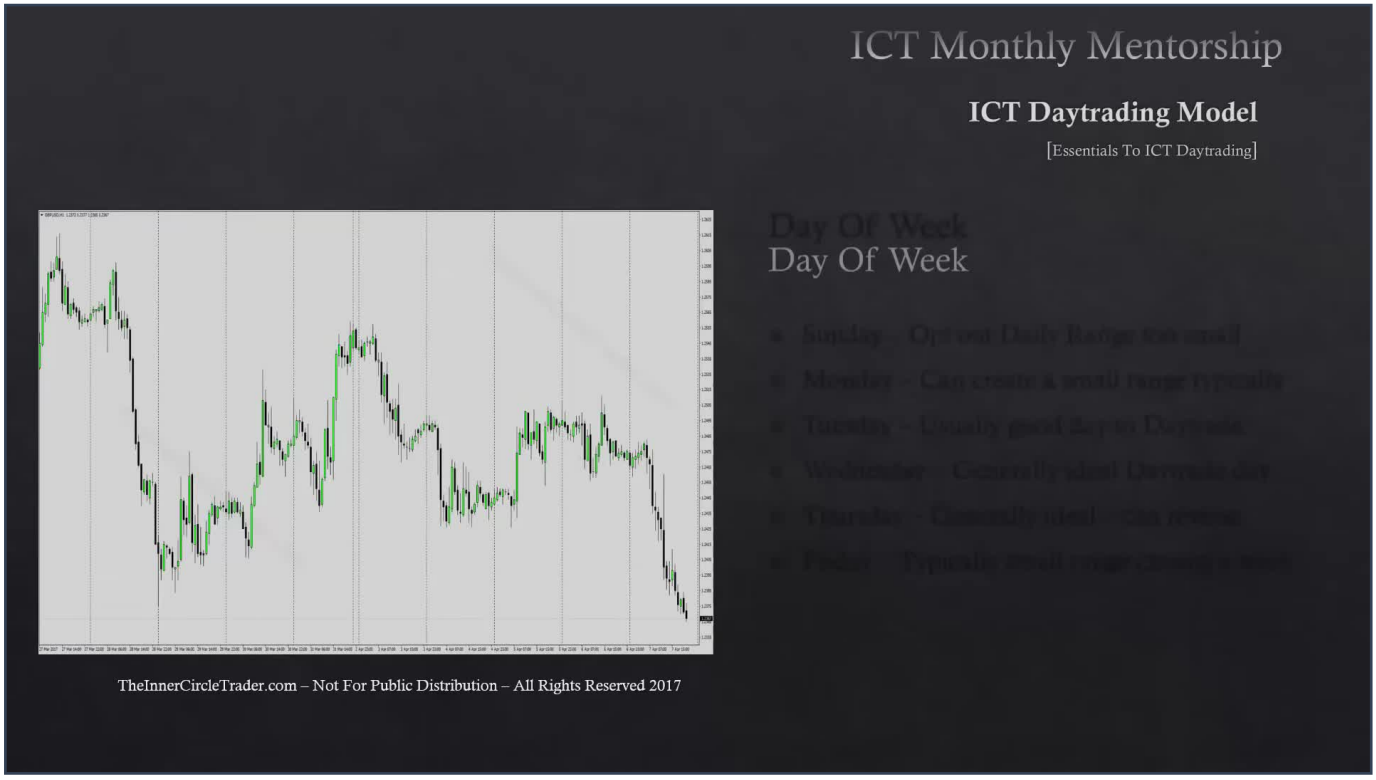
- During the Aussie overlap into Asia, the daily low or high can surprisingly form for Yen, Aussie, and Kiwi pairs, when it might normally be expected in the London session.

London Lunch is generally between 5:00 AM and 7:00 AM NY time.

- This is a quiet period where the market prepares for its next move (continuation or reversal).

- After 5:00 AM NY time, anticipate transition, retracement, or consolidation.

- If holding a short position from London, it is prudent to take some profit before or around 5:00 AM NY time due to the possibility of London lunch reversals or deeper retracements, often triggered by economic reports (e.g., 4:30 AM or 5:00 AM releases). These retracements can be significant and erode profits.



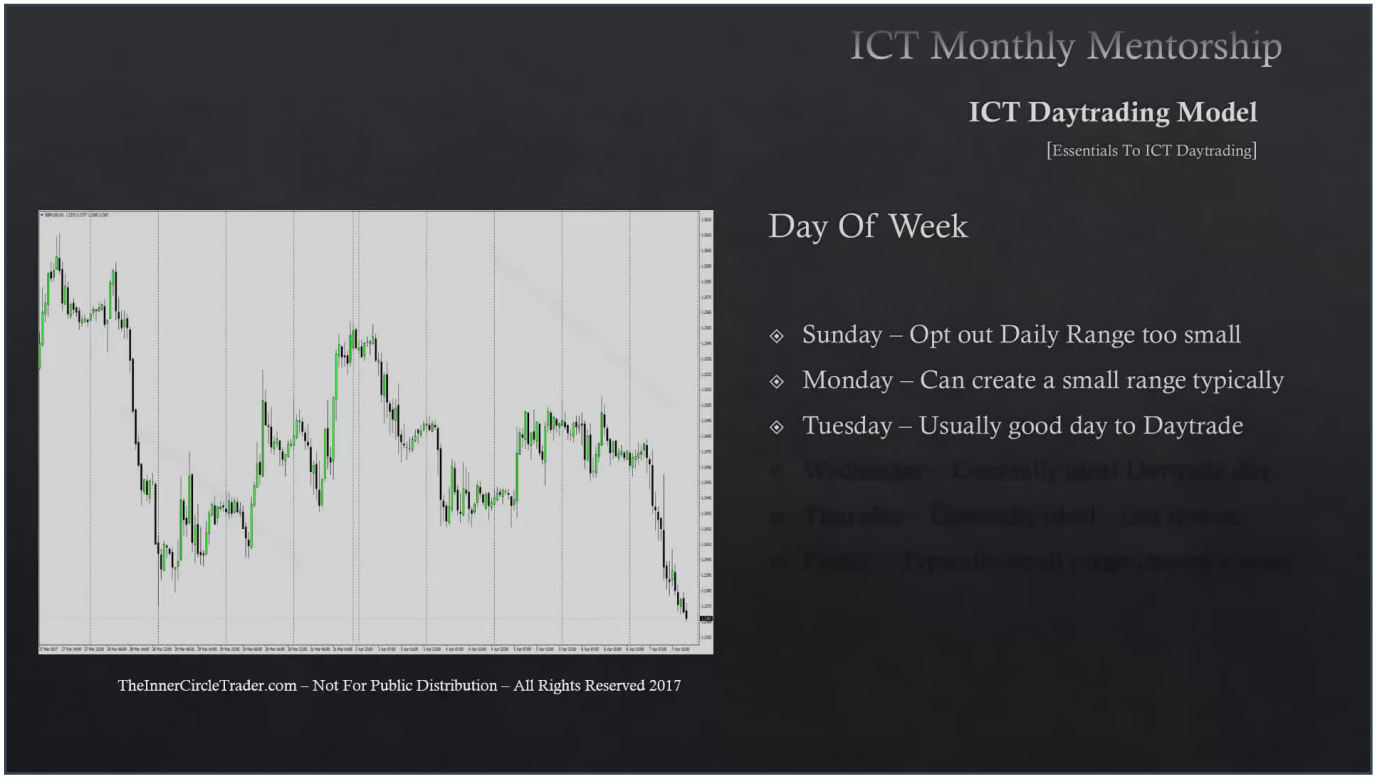
Specific characteristics define each trading day:

- Sunday: Generally, day traders opt out due to a very small daily range (only a couple of hours). For data providers that do not include Sunday candles, Sunday's data should be incorporated with Monday's opening data.

- Monday: Typically a small range day.

- If a large range develops early in the week (Sunday into Monday Frankfurt session) and trades aggressively into a daily premium PD array, it can often form the high of the week.

- Conversely, if a large range develops early and trades down aggressively into a daily discount PD array, it can form the low of the week.

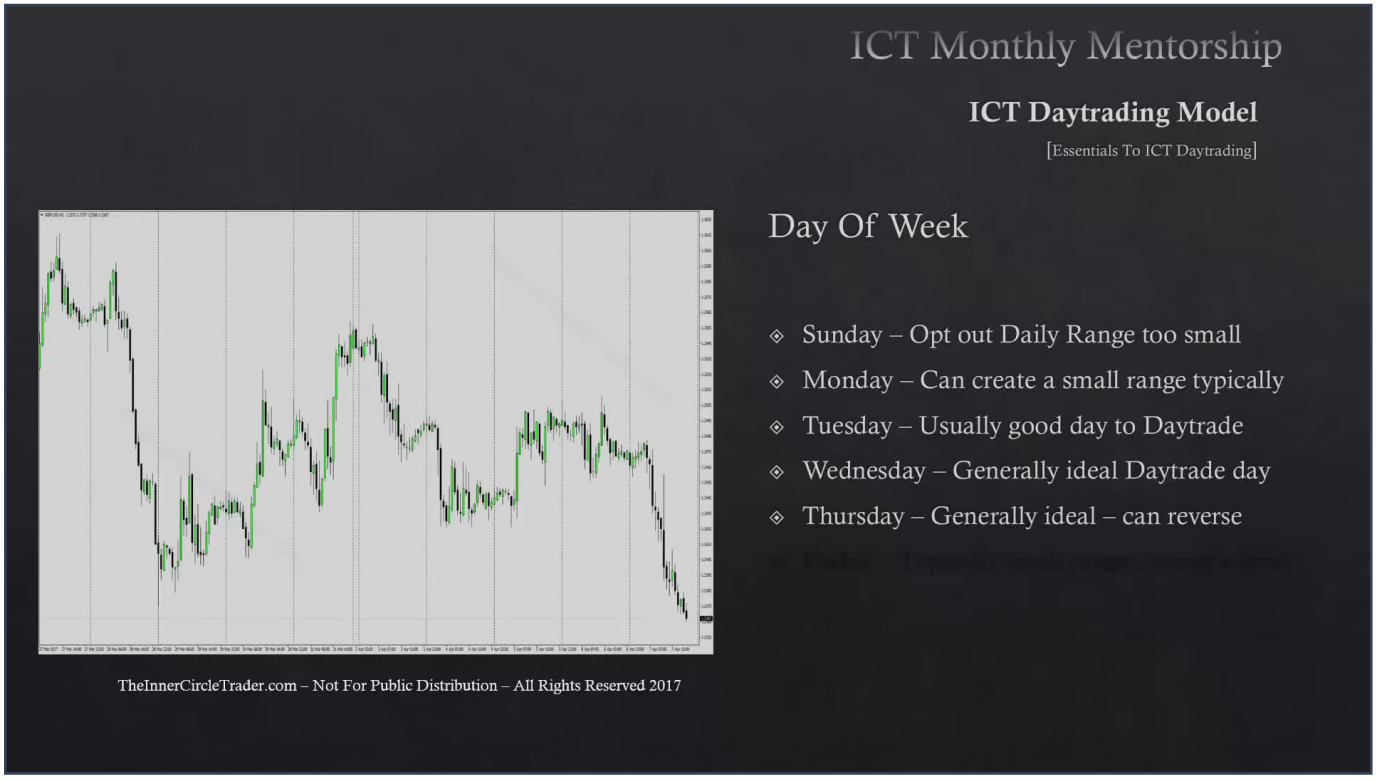


- Tuesday: Usually a good day to trade, particularly for One-Shot One-Kill setups.

- For bullish weeks, there is a 70-77 percent likelihood that Tuesday's London open will create the low of the week, offering a high-probability day trading scenario.

- For bearish markets, there is a 70 percent likelihood that Tuesday's London open will create the high of the week.

- Wednesday: Generally an ideal day for day trading. Having Sunday/Monday and Tuesday's data provides valuable insights to frame confidence for trading decisions in London and New York.



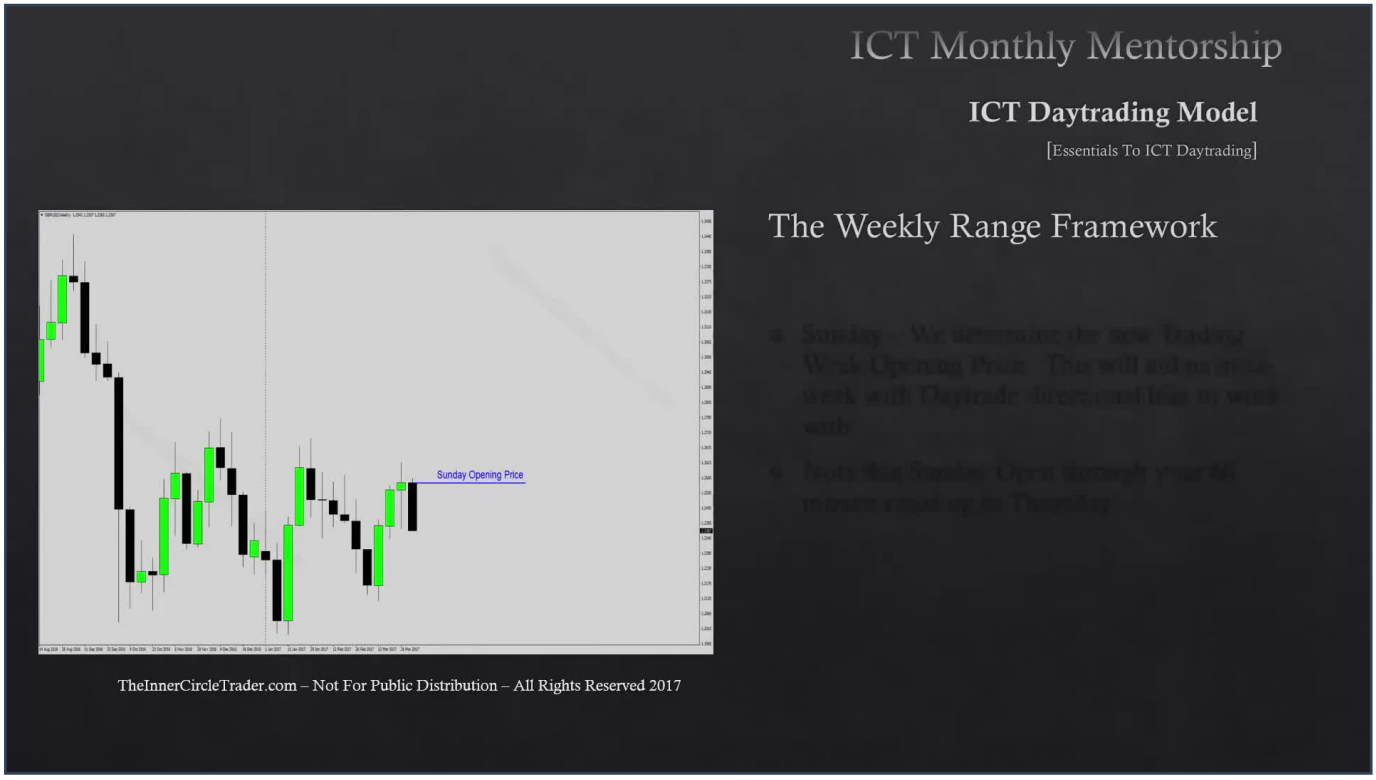
- Thursday: Typically an ideal trading day, but caution is advised as reversals can occur. The weekly range is often capped by Thursday's New York session.

- A successful day trade in London on Thursday may fizzle out or reverse the weekly direction during the New York or London Close sessions.

- Friday: Usually a small range day as the week concludes.

- If weekly objectives (PD arrays - premium or discount) have not been met by Thursday, Friday can sometimes surprise with a significant range expansion to reach those targets.

- If Thursday has already met the weekly range targets, Friday is likely to be a quiet day.



On Sunday, determine the new trading week's opening price. This price line is drawn on the 60-minute/hourly chart and extended until Thursday. (If Sunday candles are unavailable, use Monday's opening price, as the disparity will be minimal).

- Purpose: This line aids in establishing intra-week day trade directional bias. Thursday is critical because significant weekly reversals often unfold then.

- Intra-Week Reversal Confirmation:

- Bearish to Bullish: If the week has a bearish bias, but price trades back above Sunday's opening price during Thursday's trading, it signals a major intra-week reversal. This often indicates a longer-term bullish One-Shot One-Kill setup for the next trading week.

- Bullish to Bearish: If the week has a bullish bias, but price trades below Sunday's opening price during Thursday's trading, it signals a potential weekly reversal. This indicates opportunities to sell short on Friday or carry a bearish bias into the next trading week.

SUNDAY OPENING PRICE FILTER - BEARISH WEEKLY BIAS

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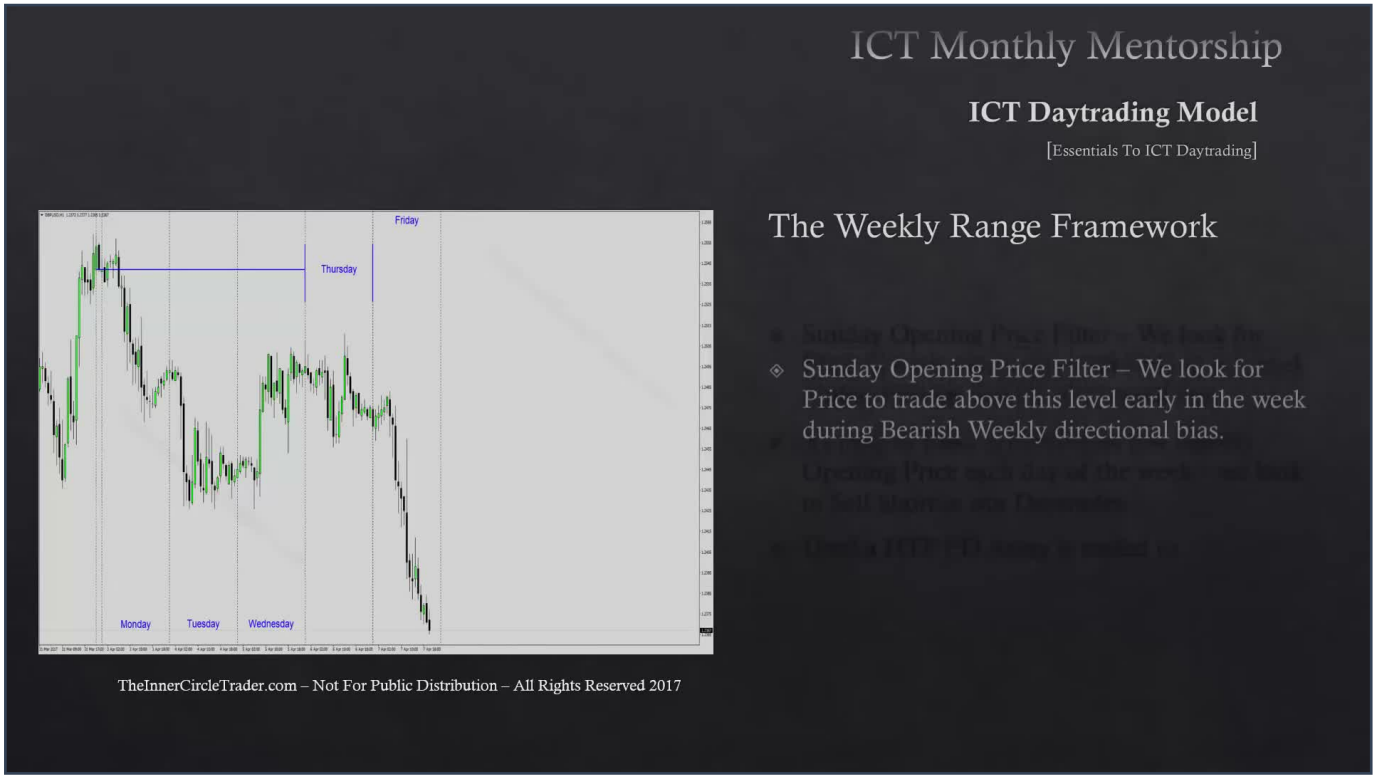

For a bearish weekly directional bias (expecting the weekly candle to close lower than its Sunday/Monday open, moving away from a premium PD array):

- Look for price to trade above the Sunday opening price early in the week (Sunday/Monday) as a Judas swing.

- As long as price remains lower than this Sunday opening price for the rest of the week, look to sell short in all day trades (London entries, New York continuations).

- Caveat: This strategy holds true until price trades to a higher time frame discount PD array. Upon reaching such a level, caution is advised as an intra-week reversal may occur. Otherwise, continue taking short day trades.

SUNDAY OPENING PRICE FILTER - BULLISH WEEKLY BIAS

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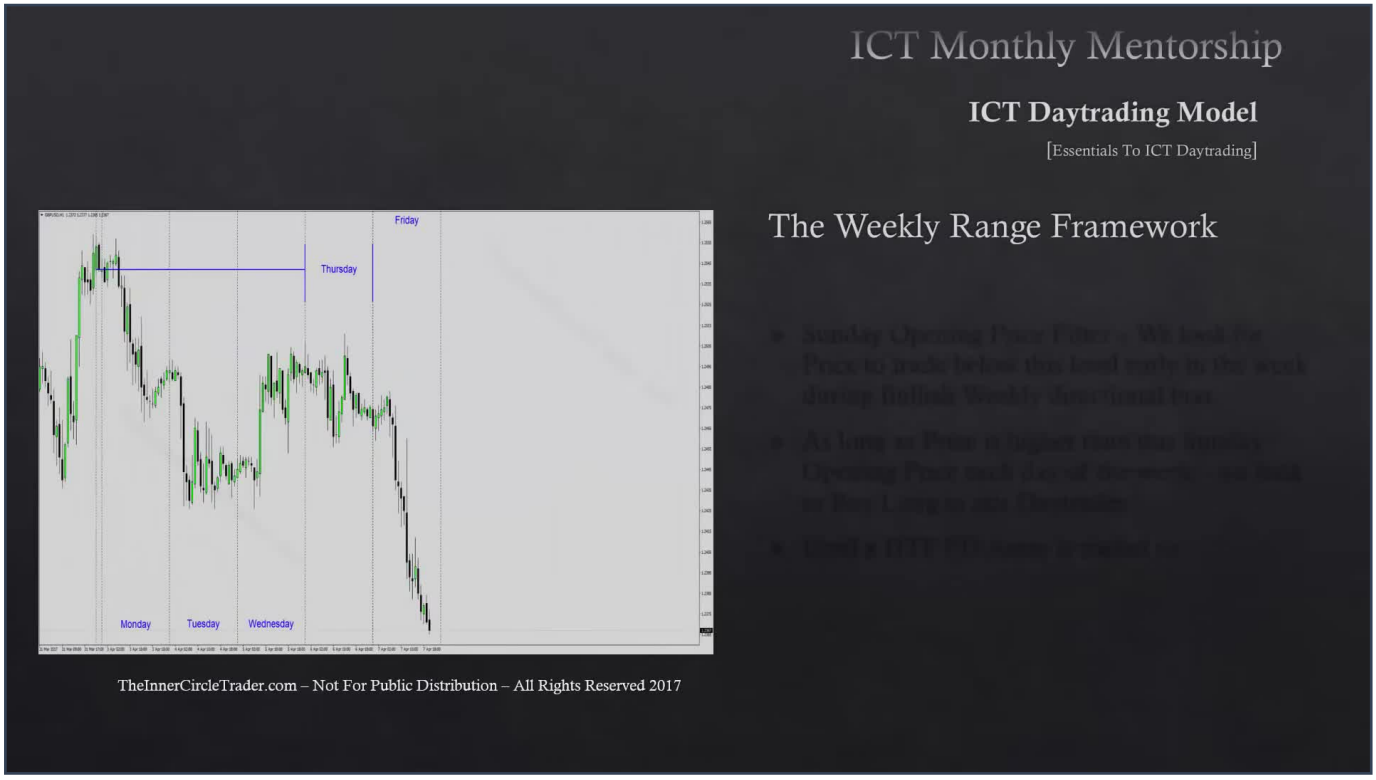
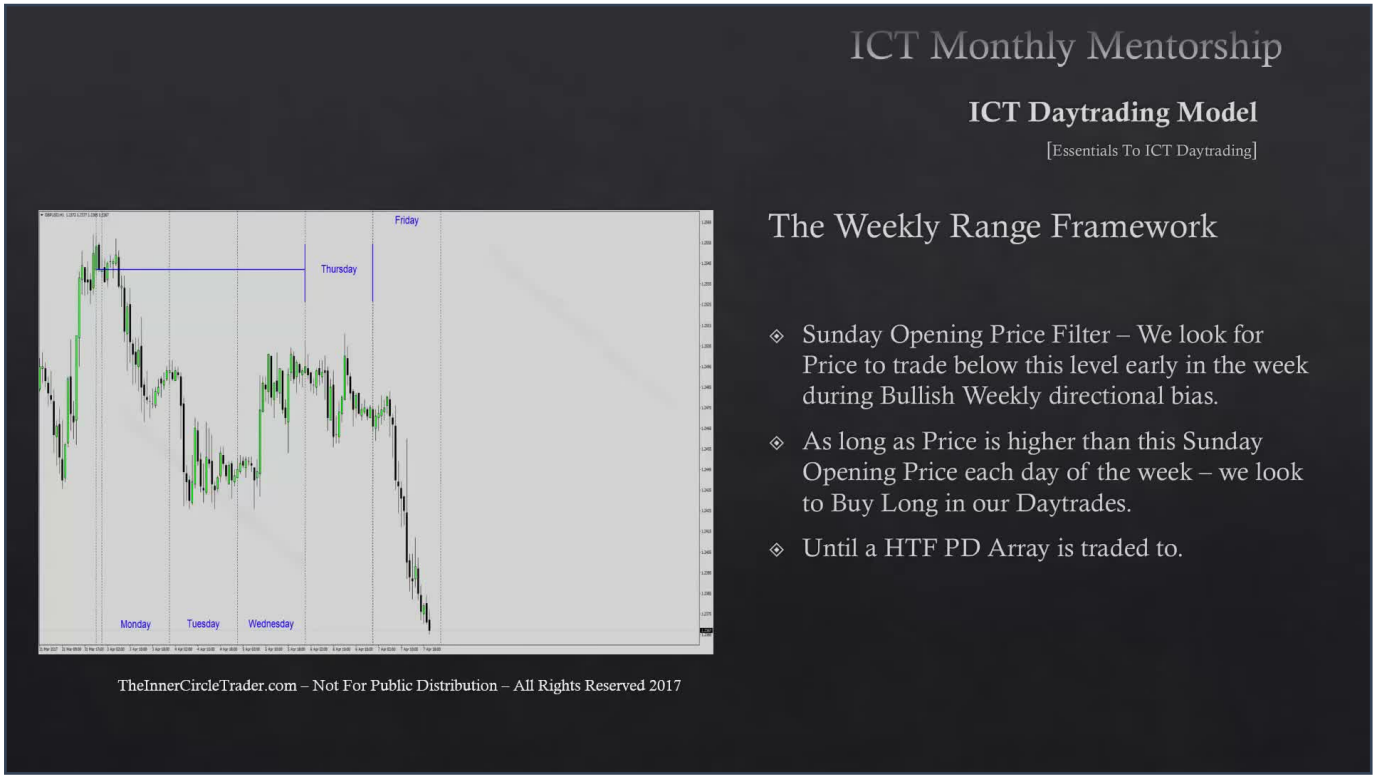


For a bullish weekly directional bias (expecting the weekly candle to close higher than its Sunday/Monday open, driven by a higher time frame discount PD array):

- Look for price to trade below the Sunday opening price early in the week (Sunday/Monday) as a Judas swing.

- As long as price remains higher than this Sunday opening price for the rest of the week, look to buy long in all day trades (London entries, New York continuations).

- Caveat: This strategy holds true until price trades to a higher time frame premium PD array. Upon reaching such a level, caution is advised as a potential intra-week reversal may occur.



We will now examine examples on the British Pound/USD weekly chart. Each range represents the Open, High, Low, and Close of an entire week.

Recall the 'Power of Three' concept: large weekly candles feature the opening and closing prices at opposing ends of the candlestick range. This concept is crucial for anticipating range expansion. Knowing the most probable direction of the current weekly candle (whether it is forming a large range) is a 'gold mine' for finding setups. There is always a new weekly candle forming, presenting new trading opportunities, though some weeks may be more challenging than others (e.g., small ranges or high/low wick candles with small bodies).

WEEKLY RANGE EXPANSION AND BULLISH CANDLE STRUCTURE

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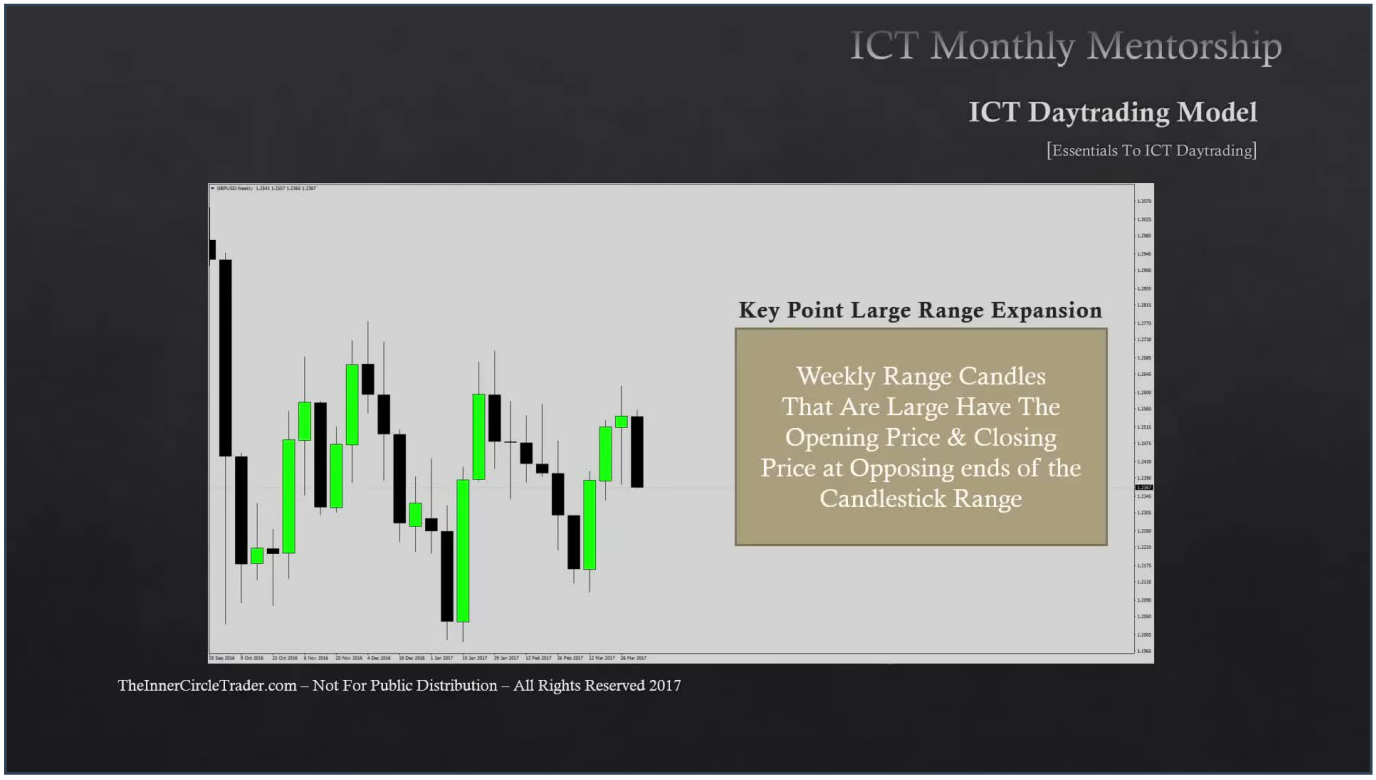


Focus on range expansion, which is critical on the weekly chart when the most likely direction is known. For a bullish weekly candle:

- The open is typically near the low of the week.

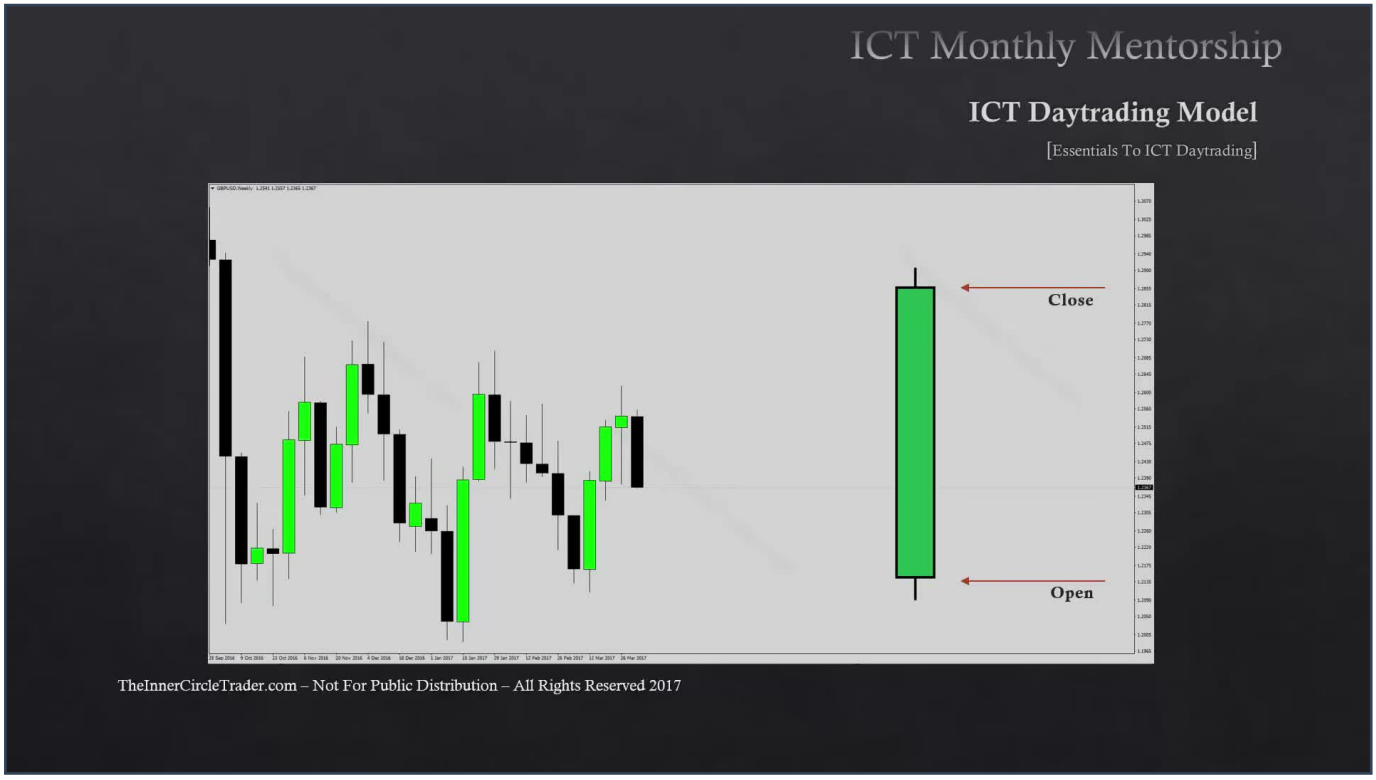
- The close is near the high of the week.

In terms of daily action within a bullish weekly candle:

- The week's range is from Sunday's (or Monday's) opening price to Friday's close.

- Expect a slight movement below the opening price (Judas swing) before expansion throughout the week.

- Further lessons will detail calculations and overlays with IPDA data ranges and PD arrays to determine the weekly range. For now, understand that a large weekly candle ranges between its opening (Sunday/ Monday) and Friday's close.



Day trade opportunities exist throughout the week, Monday through Friday, with roughly nine solid setups.

- Monday Setups: While typically not rushed, aggressive traders can seek London setups on Monday if a significant range develops early (Sunday into Monday Frankfurt). A large Asian range (observed around midnight NY time) indicates an urgent move, likely forming the weekly high or low on Monday, often aligning with a daily premium or discount PD array.

For a bearish weekly candle:

- The range extends from Sunday's (or Monday's) opening price to Friday's close.

- Look for short opportunities daily as long as price remains below the opening price. This is a filtering mechanism.

Important Note: It's not as simple as blindly trading based on the Sunday opening price filter. For instance, if Tuesday's London open is below Sunday's opening price, it doesn't automatically mean to sell short. PD arrays and the PD array matrix must always be considered to identify potential barriers or 'speed bumps' to price action.

EXAMPLE 1: BEARISH WEEK WITH DAILY REJECTION BLOCK PREMIUM PD ARRAY

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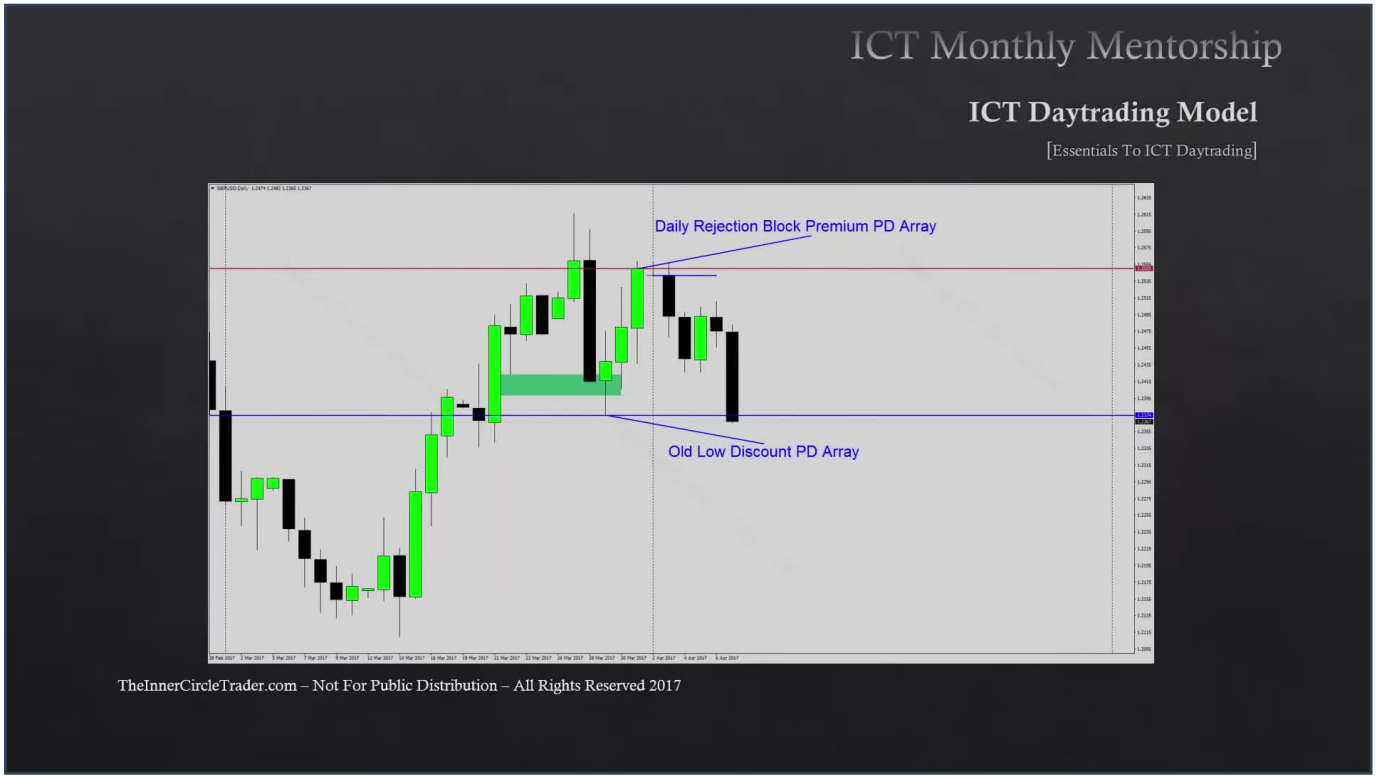

This example illustrates a week where price was expected to be bearish.

- Setup: A daily rejection block (premium PD array) and an old low (discount PD array) were identified. Sunday's opening price was forecasted across the week until Thursday.

- Price Action:

  - Price traded into the daily rejection block premium PD array and above Sunday's opening price.

  - Monday: Price immediately began trading softer and lower.

  - Tuesday: Price sold off, then consolidated.

- Wednesday: Consolidation continued into the London open. Price then rallied, having found support above 1.2430 after trading into a fair value gap on Tuesday and Wednesday.

- Thursday: Price rallied intraday, forming a high above Wednesday's consolidation, then was rejected and sold off.

  - Friday (Non-Farm Payroll): Continued sell-off.

- Rationale: The prevailing consensus was to look for sells below Sunday's opening price because price had traded into the daily rejection block premium PD array.

- Targets: Short objectives were 1.2420, 1.2375, and 1.2310. The low of the week reached 1.2365, which was 10 pips below the old low discount PD array (1.2375 target met).

EXAMPLE 2: INTRA-WEEK REVERSAL FROM DISCOUNT PD ARRAY

TIMESTAMP: 00:37:48

This scenario demonstrates a week with a daily rejection block (premium PD array) and a bullish order block low (discount PD array).

- Price Action:

  - Sunday's opening price was noted.

- Monday: Price aggressively traded higher, then sold off in London on Tuesday, trading down through Sunday's opening price.

- Wednesday: Despite being below Sunday's opening price, selling short was not appropriate. Price traded into a daily fair value gap and a daily discount bullish order block, which acted as strong support. These discount PD arrays resisted further downward movement.

- Key Insight: The mantra to sell short below Sunday's opening price is overridden by price hitting a significant daily discount PD array. This indicated an anticipated reversal (a 'Wednesday reversal' or 'low of the week' profile).

- Thursday: Price traded down into another fair value gap (discount PD array) and then expanded upwards, rising above Sunday's opening price.

- Friday: Price opened, traded down into a bullish order block (from Thursday's trading), then expanded up again, closing a Tuesday liquidity void within a fair value gap at the 1.2550 level.

- Conclusion: This highlights the need to blend the Sunday opening price filter with the PD Array Matrix. It's crucial to understand premium and discount arrays and price's position relative to equilibrium. Discount PD arrays on the daily chart will resist lower prices, causing reversals even when the opening price filter might suggest selling, often creating scenarios that look like retail sell setups before reversing higher.

EXAMPLE 3: BULLISH WEEK WITH DAILY BULLISH ORDER BLOCK DISCOUNT PD ARRAY

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This example features a bullish order block low (discount PD array) and an old high/equal highs (premium PD array).

- Price Action:

- From Sunday's opening, price moved up slightly on Monday, then traded down into the bullish order block low discount PD array.

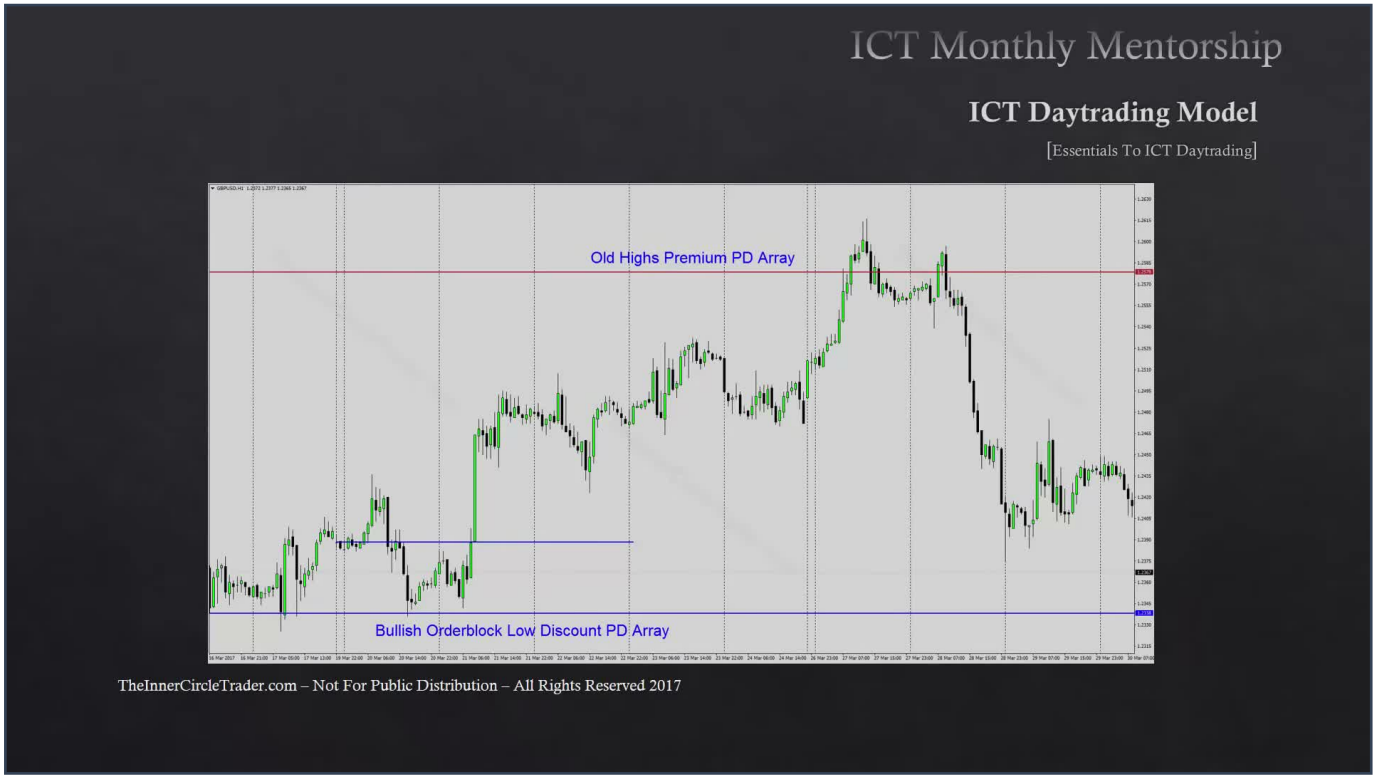
- Tuesday: Price made another attempt to go lower, traded into the same discount PD array, and then expanded upwards, breaking above Sunday's opening price.

- Rationale: With the daily discount PD array being met on Monday and price trading above Sunday's opening by Tuesday, the expectation shifted to a bullish weekly candle (closing higher than its Sunday open). The trading mantra became: look for an open-decline in London, buy the low of the day, and seek continuation buys in New York (especially around the 8:20 AM NY CME open) for an upward expansion.

- Wednesday/Thursday: London openings involved price trading down into logical discount PD arrays on the hourly chart, providing buying opportunities.

- Friday: The week's range was capped by Thursday's New York trading, leading to a quiet Friday, consistent with expectations when weekly targets are met.

- Overlap with Previous Weeks: This week immediately followed a week where price had not reached the old high/equal high premium PD array. The following Sunday opened with a rally, specifically targeting these daily PD array equal highs. Once these highs were hit, the subsequent Tuesday saw a 'failure swing' around the 1.2590 level, which formed the high of that week (connecting this example to the dynamics seen in the previous examples).



Effective day trading requires blending the Sunday opening price filter with daily discount and premium PD arrays to accurately frame the weekly range and forecast the weekly candle. This framework also supports One-Shot One-Kill setups.

- Daily Bias: The framework helps determine if you should be a buyer or seller each day. If a London setup (e.g., expecting an open-decline for a buy) does not materialize, you refrain from trading. Opportunities may still arise later in the New York session.

- Study and Application: It is crucial to understand that simply observing if price is above or below Sunday's opening is insufficient. You must:

  - Study and understand PD arrays and the PD array matrix.

  - Identify and label them on your charts.

  - Anticipate specific price action when these levels are traded to.

- IPDA Movement: IPDA moves price between PD arrays (from discount to premium and vice-versa). Knowing the daily PD arrays helps build a framework for forecasting your weekly candle. Trading in the correct direction means that even one good day a week (30-50 pips) is sufficient for profitability. However,

use the rules diligently to build a complete day trading system.